

Calendar Line 11

Case Name: *Norma Barragan v. Quantum Financial Group, Inc. et al.*
Case No.: 24CV450946

This action arises out of defendants Quantum Financial Group, Inc. (“Quantum”), Monroe Enterprises, Inc. (“Monroe”), and Mark Diederich (“Diederich”) (collectively, “Defendants”) purported violation of the Rosenthal Fair Debt Collection Practices Act (the “RDCPA”), Civil Code sections 1788-1788.33.¹⁰

Before the Court is the parties’ joint motion for preliminary approval of class action, which is unopposed. As discussed below, the Court GRANTS the motion.

XXXI. BACKGROUND

According to the allegations of the operative Complaint, Plaintiff Normal Angelica Barragan incurred a financial obligation in the form of a consumer credit account alleged to be owed to K.JORDAN. (Complaint, ¶ 4.) The debt was incurred by Plaintiff primarily for personal, family, or household purposes, and is therefore, a “consumer debt.” (*Ibid.*) Plaintiff was unable to pay the debt and defaulted—thus, it became “delinquent debt.” (Complaint, ¶ 15.) On a date unknown to Plaintiff, K.JORDAN hired, contracted, or otherwise engaged Defendant to collect the alleged debt from Plaintiff and the Class on K.JORDAN’S behalf. (Complaint, ¶ 16.)

Thereafter, Defendants sent a collection letter, which is dated July 24, 2024. (Complaint, ¶¶ 17-10.) The collection letter was the first written communication from Defendants to Plaintiff regarding the collection of the debt and the communication failed to provide necessary information and notice, in violation of California law. (Complaint, ¶¶ 20-24.)

On November 4, 2024, Plaintiff initiated this action with the filing of the Complaint, which asserts a single cause of action for violation of the RDCPA.

The parties now seek an order: certifying the class for settlement purposes; preliminarily approving the class action settlement (the “Settlement”); approving the form and method of the notice and establishing deadlines for distribution and responses; setting a deadline for the final approval motion; setting a final approval hearing; and staying all proceedings in this action pending final approval.

XXXII. LEGAL STANDARDS FOR SETTLEMENT APPROVAL

D. Class Action

Generally, “questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234–235

¹⁰ Thomas Bonum is a named defendant in this action, however, he has since passed away.

(*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement.

(*Wershba, supra*, 91 Cal.App.4th at pp. 244–245, internal citations and quotations omitted.)

In general, the most important factor is the strength of the plaintiffs' case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130 (*Kullar*.) But the trial court is free to engage in a balancing and weighing of relevant factors, depending on the circumstances of each case. (*Wershba, supra*, 91 Cal.App.4th at p. 245.) The trial court must examine the "proposed settlement agreement to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned." (*Ibid.*, citation and internal quotation marks omitted.) The trial court also must independently confirm that "the consideration being received for the release of the class members' claims is reasonable in light of the strengths and weaknesses of the claims and the risks of the particular litigation." (*Kullar, supra*, 168 Cal.App.4th at p. 129.) Of course, before performing its analysis the trial court must be "provided with basic information about the nature and magnitude of the claims in question and the basis for concluding that the consideration being paid for the release of those claims represents a reasonable compromise." (*Id.* at pp. 130, 133.)

XXXIII. SETTLEMENT PROCESS

On November 4, 2024, Plaintiff initiated this action. On December 20, 2024, the Court issued its order, which deemed the case complex. On May 9, 2025, Quantum filed its answer. On August 20, 2025, Plaintiff added Monroe and Diederich as Doe defendants. Diederich filed his answer on September 25, 2025 and on October 29, 2025, Monroe filed its answer.

The parties conducted discovery and decided to work to resolve the action informally. They exchanged offers between December 2025 and February 2026. On March 25, 2026, they executed the Settlement currently before the Court.

XXXIV. SETTLEMENT PROVISIONS

The Settlement states Defendant will pay a class fund of \$7,875, which will be distributed on a pro rata basis to members of the "Class," which is defined as "[a]ll persons with addresses in California to whom Defendants sent, or caused to be sent, an initial written communication in the form of Exhibit "1" [attached to Plaintiff's Class Action Complaint for Statutory Damages] in an attempt to collect a consumer debt originally owed to K.JORDAN, which were not returned as undeliverable by the U.S. Post Office during the period November 4, 2023, through the date of class certification." Defendants will pay Plaintiff \$2,000 in

statutory damages. Class Counsel will seek an award of attorneys' fees and costs not to exceed \$40,000. Plaintiff will seek a service award of \$2,000. Funds associated with checks uncashed after 90 days will be transmitted to the Katharine & George Alexander Community Law Center.

The Settlement contains the following attorney fees and costs provision:

Defendants shall pay attorneys' fees and costs to Class Counsel pursuant to California Civil Code § 1788.17, as approved by the Court. Class Counsel will seek an award of attorneys fees and costs in an amount not to exceed \$40,000, and Defendants will not oppose such request. Any application for approval of such reasonable attorneys' fees and costs will be made separately, upon noticed motion, and determined at the Final Fairness Hearing, or at the Court's discretion.

In exchange for the settlement, Class Members will release:

[A]ll claims alleging violation of California Civil Code §§ 1788.11(f) and/or 1788.14.5(e)(1) or similar or related claims or causes of action under state or federal law, arising from or relating to collection letters mailed by or on behalf of Defendants in the form attached as Exhibit "1" to Plaintiff's Class Action Complaint filed herein, which were mailed within the Class Settlement Period.

The foregoing releases are appropriately tailored to the allegations at issue. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 537.)

XXXV. FAIRNESS OF SETTLEMENT

"The Rosenthal Act was enacted 'to prohibit debt collectors from engaging in unfair or deceptive acts or practices in the collection of consumer debts.' (§ 1788.1, subd. (b).)" (*Davidson v. Seterus, Inc.* (2018) 21 Cal.App.5th 283, 295.) It "was enacted in 1977, the same year that its federal counterpart, the [Fair Debt Collection Practices Act, or] FDCPA, was enacted." (*Ibid.*) "In addition to its other requirements and prohibitions," under a section enacted in 1999, "the Rosenthal Act generally requires debt collectors to comply with the provisions of the FDCPA. (§ 1788.17.)" (*Ibid.*) This section also incorporates the remedies of the FDCPA, including by "ma[king] class remedies available under the Rosenthal Act." (*Afewerki v. Anaya Law Group* (9th Cir. 2017) 868 F.3d 771, 778, citing section 1788.17.)

Specifically, section 1788.17 of the RFDCPA provides that "every debt collector collecting or attempting to collect a consumer debt ... shall be subject to the remedies in Section 1692k of, Title 15 of the United States Code."

That section provides:

- (a) Amount of damages. Except as otherwise provided by this section, any debt collector who fails to comply with any provision of this title [15 USCS §§ 1692 et seq.] with respect to any person is liable to such person in an amount equal to the sum of—
 - (1) any actual damage sustained by such person as a result of such failure;

(2)

(A) in the case of any action by an individual, such additional damages as the court may allow, but not exceeding \$1,000; or

(B) in the case of a class action, (i) such amount for each named plaintiff as could be recovered under subparagraph (A), and (ii) such amount as the court may allow for all other class members, without regard to a minimum individual recovery, not to exceed the lesser of \$500,000 or 1 per centum of the net worth of the debt collector; and

(3) in the case of any successful action to enforce the foregoing liability, the costs of the action, together with a reasonable attorney's fee as determined by the court. ...

Defendants provided detailed financial statements to Plaintiff subject to a protective order. Plaintiff argues that the settlement is fair and reasonable to the class in light of these circumstances, and in consideration of the risks of taking the case to trial—particularly those raised by Defendants' "*bona fide* error" affirmative defense. Here, the Settlement will provide a recovery of \$75.00 to each Class Member. Thus, the settlement provides for some recovery for each Class Member and eliminates the risk and expense of further litigation. Based on the circumstances of the case, including the strength of Plaintiff's case and the likelihood of obtaining recovery from Defendants, the Court finds the terms of the settlement to be fair and reasonable to the Class.

XXXVI. PROPOSED SETTLEMENT CLASS

The parties request certification of the following class for settlement purposes:

All persons with addresses in California to whom Defendants sent, or caused to be sent, an initial written communication in the form of Exhibit "1" [attached to Plaintiff's Class Action Complaint for Statutory Damages] in an attempt to collect a consumer debt originally owed to K.JORDAN, which were not returned as undeliverable by the U.S. Post Office during the period November 4, 2023, through the date of class certification.

E. Legal Standard for Certifying a Class for Settlement Purposes

Rule 3.769(d) of the California Rules of Court states that "[t]he court may make an order approving or denying certification of a provisional settlement class after [a] preliminary settlement hearing." California Code of Civil Procedure Section 382 authorizes certification of a class "when the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court"

Section 382 requires the plaintiff to demonstrate by a preponderance of the evidence:

(1) an ascertainable class and (2) a well-defined community of interest among the class members. (*Sav-On Drug Stores, Inc. v. Superior Court* (2004) 34 Cal.4th 319, 326, 332 (*Sav-On Drug Stores*)). "Other relevant considerations include the probability that each class member will come forward ultimately to prove his or her separate claim to a portion of the total recovery and whether the class approach would actually serve to deter and redress alleged wrongdoing." (*Linder v. Thrifty Oil Co.* (2000) 23 Cal.4th 429, 435.) The plaintiff has the burden of establishing that class treatment will yield "substantial benefits" to both "the litigants and to the court." (*Blue Chip Stamps v. Superior Court* (1976) 18 Cal.3d 381, 385.)

In the settlement context, “the court’s evaluation of the certification issues is somewhat different from its consideration of certification issues when the class action has not yet settled.” (*Luckey v. Superior Court* (2014) 228 Cal.App.4th 81, 93.) As no trial is anticipated in the settlement-only context, the case management issues inherent in the ascertainable class determination need not be confronted, and the court’s review is more lenient in this respect. (*Id.* at pp. 93–94.) But considerations designed to protect absentees by blocking unwarranted or overbroad class definitions require heightened scrutiny in the settlement-only class context, since the court will lack the usual opportunity to adjust the class as proceedings unfold. (*Id.* at p. 94.)

F. Ascertainable Class

A class is ascertainable “when it is defined in terms of objective characteristics and common transactional facts that make the ultimate identification of class members possible when that identification becomes necessary.” (*Noel v. Thrifty Payless, Inc.* (2019) 7 Cal.5th 955, 980 (*Noel*)). A class definition satisfying these requirements

puts members of the class on notice that their rights may be adjudicated in the proceeding, so they must decide whether to intervene, opt out, or do nothing and live with the consequences. This kind of class definition also advances due process by supplying a concrete basis for determining who will and will not be bound by (or benefit from) any judgment.

(*Noel, supra*, 7 Cal.5th at p. 980, citation omitted.)

“As a rule, a representative plaintiff in a class action need not introduce evidence establishing how notice of the action will be communicated to individual class members in order to show an ascertainable class.” (*Noel, supra*, 7 Cal.5th at p. 984.) Still, it has long been held that “[c]lass members are ‘ascertainable’ where they may be readily identified ... by reference to official records.” (*Rose v. City of Hayward* (1981) 126 Cal. App. 3d 926, 932, disapproved of on another ground by *Noel, supra*, 7 Cal.5th 955; see also *Cohen v. DIRECTV, Inc.* (2009) 178 Cal.App.4th 966, 975-976 [“The defined class of all HD Package subscribers is precise, with objective characteristics and transactional parameters, and can be determined by DIRECTV’s own account records. No more is needed.”].)

Here, the estimated 105 Class members are readily identifiable based on Defendants’ records, and the settlement Class is appropriately defined based on objective characteristics. The Court finds that the settlement Class is numerous, ascertainable, and appropriately defined.

G. Community of Interest

The “community-of-interest” requirement encompasses three factors: (1) predominant questions of law or fact, (2) class representatives with claims or defenses typical of the class, and (3) class representatives who can adequately represent the class. (*Sav-On Drug Stores, supra*, 34 Cal.4th at pp. 326, 332.)

For the first community of interest factor, “[i]n order to determine whether common questions of fact predominate the trial court must examine the issues framed by the pleadings and the law applicable to the causes of action alleged.” (*Hicks v. Kaufman & Broad Home*

Corp. (2001) 89 Cal.App.4th 908, 916 (*Hicks*).) The court must also examine evidence of any conflict of interest among the proposed class members. (See *J.P. Morgan & Co., Inc. v. Superior Court* (2003) 113 Cal.App.4th 195, 215.) The ultimate question is whether the issues which may be jointly tried, when compared with those requiring separate adjudication, are so numerous or substantial that the maintenance of a class action would be good for the judicial process and to the litigants. (*Lockheed Martin Corp. v. Superior Court* (2003) 29 Cal.4th 1096, 1104–1105 (*Lockheed Martin*).) “As a general rule if the defendant’s liability can be determined by facts common to all members of the class, a class will be certified even if the members must individually prove their damages.” (*Hicks, supra*, 89 Cal.App.4th at p. 916.)

Here, common legal and factual issues predominate. Plaintiff’s claim arises from Defendants’ alleged debt collection practices.

As for the second factor,

The typicality requirement is meant to ensure that the class representative is able to adequately represent the class and focus on common issues. It is only when a defense unique to the class representative will be a major focus of the litigation, or when the class representative’s interests are antagonistic to or in conflict with the objectives of those she purports to represent that denial of class certification is appropriate. But even then, the court should determine if it would be feasible to divide the class into subclasses to eliminate the conflict and allow the class action to be maintained.

(*Medrazo v. Honda of North Hollywood* (2008) 166 Cal. App. 4th 89, 99, internal citations, brackets, and quotation marks omitted.)

Like the other members of the proposed Class, Plaintiff was subjected to Defendants’ debt collection practices. The anticipated defenses are not unique to Plaintiff, and there is no indication that Plaintiff’s interests are otherwise in conflict with those of the proposed Class.

Finally, adequacy of representation “depends on whether the plaintiff’s attorney is qualified to conduct the proposed litigation and the plaintiff’s interests are not antagonistic to the interests of the class.” (*McGhee v. Bank of America* (1976) 60 Cal.App.3d 442, 450.) The class representative does not necessarily have to incur all of the damages suffered by each different class member in order to provide adequate representation to the class. (*Wershba, supra*, 91 Cal.App.4th at p. 238.) “Differences in individual class members’ proof of damages [are] not fatal to class certification. Only a conflict that goes to the very subject matter of the litigation will defeat a party’s claim of representative status.” (*Ibid.*, internal citations and quotation marks omitted.)

Plaintiff has the same interest in maintaining this action as any Class Member would have. Further, she has hired experienced counsel. Plaintiff has sufficiently demonstrated adequacy of representation.

H. Substantial Benefits of Class Certification

“[A] class action should not be certified unless substantial benefits accrue both to litigants and the courts. . . .” (*Basurco v. 21st Century Ins.* (2003) 108 Cal.App.4th 110, 120,

internal quotation marks omitted.) The question is whether a class action would be superior to individual lawsuits. (*Ibid.*) “Thus, even if questions of law or fact predominate, the lack of superiority provides an alternative ground to deny class certification.” (*Ibid.*) Generally, “a class action is proper where it provides small claimants with a method of obtaining redress and when numerous parties suffer injury of insufficient size to warrant individual action.” (*Id.* at pp. 120–121, internal quotation marks omitted.)

Here, there are an estimated 105 Class Members. It would be inefficient for the Court to hear and decide the same issues separately and repeatedly for each class member. Further, it would be cost prohibitive for each Class member to file suit individually, as each member would have the potential for little to no monetary recovery. It is clear that a class action provides substantial benefits to both the litigants and the Court in this case.

XXXVII. NOTICE

The content of a class notice is subject to court approval. (Cal. Rules of Court, rule 3.769(f).) “The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement.” (*Ibid.*) In determining the manner of the notice, the court must consider: “(1) The interests of the class; (2) The type of relief requested; (3) The stake of the individual class members; (4) The cost of notifying class members; (5) The resources of the parties; (6) The possible prejudice to class members who do not receive notice; and (7) The res judicata effect on class members.” (Cal. Rules of Court, rule 3.766(e).)

Here, the notice, which will be provided in English, informs the Class Members of the nature of the lawsuit and their rights under the terms of the Settlement and applicable law. It includes: a detailed explanation of the case, including the basic contentions or denials of the Parties and the basic terms of the Settlement; a statement that the court will exclude the member from the Class if they request so by a specified date; a procedure for the member to follow in requesting exclusions from the Class; an explanation that members of the Class can participate in the Settlement by doing nothing; a statement that the judgment, whether favorable or not, will bind all members who do not request exclusion; and a statement that any member who does not request exclusion may, if the member so desires, enter an appearance through counsel. Class Members are given 60 days to exclude themselves or object. The form of notice is adequate.

Regarding appearances at the final fairness hearing, the notice shall be modified to instruct class members as follows:

Although class members may appear in person, the judge overseeing this case encourages remote appearances. Class members who wish to appear remotely should contact class counsel at least three days before the hearing if possible. Remote appearances must be made through UDC, unless otherwise arranged with the Court. Please go to <https://santaclara.courts.ca.gov/online-services/remote-hearings> to find the appropriate link. Also, please note that that you must register in advance to appear remotely.

Turning to the notice procedure, the parties fail to identify the settlement administrator in the motion nor is one identified in Class Counsel's declarations. Nevertheless, the Class notice contains the information for CPT Group, Inc. ("CPT"). (Settlement, Exh. 1, p. 2.) The Settlement required Defendants to provide CPT with a complete list of Class Members within 14 days of the execution of the Settlement. Within 25 days of preliminary approval, CPT shall mail the Class notice to each Class member, after verifying the addresses. If any notice is returned with a new address, CPT shall resent the notice to the new address. These notice procedures are appropriate and are approved.

XXXVIII. SERVICE AWARDS, FEES, AND COSTS

Plaintiff requests a service award of \$2,000.

The rationale for making enhancement or incentive awards to named plaintiffs is that they should be compensated for the expense or risk they have incurred in conferring a benefit on other members of the class. An incentive award is appropriate if it is necessary to induce an individual to participate in the suit.

Criteria courts may consider in determining whether to make an incentive award include: 1) the risk to the class representative in commencing suit, both financial and otherwise; 2) the notoriety and personal difficulties encountered by the class representative; 3) the amount of time and effort spent by the class representative; 4) the duration of the litigation and; 5) the personal benefit (or lack thereof) enjoyed by the class representative as a result of the litigation.

These "incentive awards" to class representatives must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit.

(*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1394-1395, internal punctuation and citations omitted; see also *Covillo v. Specialty's Café* (N.D. Cal. 2014) 2014 U.S.Dist.LEXIS 29837, at *29 [incentive awards are particularly appropriate where a plaintiff undertakes a significant "reputational risk" in bringing an action against an employer].)

Prior to final approval hearing, Plaintiff shall submit a declaration detailing her efforts in this action.

The court also has an independent right and responsibility to review the requested attorney fees and only award so much as it determines reasonable. (See *Garabedian v. Los Angeles Cellular Telephone Co.* (2004) 118 Cal.App.4th 123, 127-128.) Class Counsel will seek attorneys' fees and costs in an amount not to exceed \$40,000. The lodestar method is a recognized method for calculating attorney fees in civil class actions. (*Wershba, supra*, 91 Cal.App.4th at p. 254 ["Court recognize two methods for calculating attorney fees in civil class actions: the lodestar/multiplier method and the percentage of recovery method."].) Prior to the final approval hearing, Class Counsel shall submit lodestar information (including hourly rate and hours worked) as well as evidence of actual litigation costs incurred.

XXXIX. CONCLUSION

The parties' joint motion for preliminary approval is GRANTED.

The final approval hearing shall take place on **February 18, 2027** at 1:30 in Department 22. The following Class is preliminarily certified for settlement purposes:

All persons with addresses in California to whom Defendants sent, or caused to be sent, an initial written communication in the form of Exhibit “1” [attached to Plaintiff’s Class Action Complaint for Statutory Damages] in an attempt to collect a consumer debt originally owed to K.JORDAN, which were not returned as undeliverable by the U.S. Post Office during the period November 4, 2023, through the date of class certification.

The Court will prepare the order.

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Calendar Line 12

Case Name: *Moncada v. AJ's Restaurant & Bar, et al.*

Case No.: 19CV346694

This is a putative class action seeking recovery of unpaid wages, among other things. Plaintiff Deidra Moncada alleges that defendants Paul Gill (“Gill”) and AJ’s Restaurant & Bar LLC (“AJ’s”) (collectively, “Defendants”) committed various wage and hour violations.

Before the Court is defendant Gill’s motion to dismiss, which is opposed. As discussed below, the Court GRANTS Defendant Gill’s motion to dismiss.

XL. BACKGROUND

According to the operative second amended complaint (“SAC”), from approximately 2003 to May 9, 2021, Andrea Russo (“Russo”) owned AJ’s as a sole proprietorship, which he managed and operated with his son, Defendant Gill. (SAC, ¶ 9.) On May 2013, Plaintiff had an interview with Defendant Gill and Russo for a position as a dancer at AJ’s. (SAC, ¶ 10.) Plaintiff was employed by Defendants from approximately May 1, 2013 and April 22, 2017. (SAC, ¶ 11.) Her primary duties were to dance on stage, communicate with patrons, and provide lap dances for patrons. (*Ibid.*)

When she was hired, Gill and Russo informed her of the attire she was expected to wear, how she was required to look, the amount she was required to pay them, the DJs, and the security. (SAC, ¶ 12.) During her employment, she spoke to Gill almost every day and he controlled the dancers’ wages, hours and working conditions, including Plaintiff’s. (*Ibid.*) On May, 1, 2013, Gill informed Plaintiff that she would receive a 1099. (SAC, ¶ 13.)

Plaintiff alleges Defendant misclassified her and other employees; failed to pay them an hourly rate; denied them rest and meal periods and failed to pay compensation in lieu thereof; failed to provide complete and accurate wage statements; and failed to provide paid sick leave. (SAC, ¶¶ 15-20.) On April 22, 2017, Plaintiff was terminated from employment and Defendants failed to provide Plaintiff with her final pay. (SAC, ¶ 25.)

On April 19, 2019, Plaintiff initiated this action with the filing of the complaint and on April 6, 2023, she filed her first amended complaint. On September 7, 2023, Plaintiff filed the operative SAC, which asserts the following causes of action: (1) failure to pay minimum wage ; (2) failure to pay minimum wage-San Jose Minimum Wage Municipal Code 4.100.040; (3) failure to provide rest and meal breaks; (4) failure to provide paid sick days (Labor Code § 246); (5) failure to furnish complete and accurate wage statements (Labor Code § 226); (6) failure to pay all wages due upon termination (Labor Code § 203); (7) failure to reimburse for necessary business expenses (Labor Code § 2802); (8) common law conversion; and (9) failure to pay gratuities (Labor Code § 351).

On April 23, 2024, the Court (Hon. Adams) issued its order, which sustained AJ’s demurrer to the SAC without leave to amend. On July 5, 2024, Plaintiff filed a notice of appeal. On June 23, 2025, the Court (Hon. Adams) issued its order, which stayed the matter pending the resolution of the appeal. On March 26, 2026, a remittitur was filed and on March